

MANAGED IT & CLOUD SERVICES · CYBERSECURITY
TELECOM & UCAAS · SYSTEMS INTEGRATION
ELECTRONICS & HARDWARE · GOVERNMENT TECHNOLOGY

BENCHMARK® INTERNATIONAL

MIDDLE MARKET

QUARTERLY INDUSTRY REPORT | Q4 2026

# TECHNOLOGY

*Data center demand is filling order books, consolidators keep paying for recurring revenue, and government contractors are working through a slower award calendar.*

WHAT'S INCLUDED


01 **INSIGHTS** Key trends, perspectives on six sectors and what we are reading

02 **INDUSTRY ACTIVITY** Recent transactions, listed-company valuation, earnings commentary, cost indicators and active buyers

03 **CONNECT WITH US** The Middle Market team and Benchmark International



OCTOBER 2026 | JARED HARDIN, MANAGING DIRECTOR

# 01 Insights

KEY INSIGHTS

**01 Data center demand outpaces IT services**
Gartner expects data center systems spending to rise 62.5% in 2026, against 5.3% for IT services. Firms tied to data center build-outs can show buyers faster growth.

**02 Managed revenue brings funded bidders**
Buyers announced 64 acquisitions of managed service providers in the first quarter, 73% more than a year earlier. Contracted managed revenue can put several funded bidders in one process.

**03 Dearer debt favors documented earnings**
Total debt on platform acquisitions fell to 2.9x EBITDA from 3.4x, and the Federal Reserve raised its target range on September 16. Documented earnings and contracted customers carry more weight.

**04 Backlog counts once it ships**
North American electronics manufacturing services bookings rose 53.5% in August, while shipments rose 1.0%. Show that backlog converts at steady margins. Expect questions on component supply.



# Key Trends in Technology

Six developments are shaping demand, pricing and deal activity across the six sectors as the fourth quarter begins.

## AI infrastructure sets the pace of demand — +62.5%

Gartner expects IT spending of $6.37 trillion in 2026, up 14.2%, with data center systems up 62.5% and IT services up 5.3% (Gartner). Cloud infrastructure revenue grew 43% in the second quarter (Synergy Research Group).

*Firms tied to data center build-outs are outgrowing IT services as a whole.*

## Consolidators keep buying recurring revenue — 64

Buyers announced 64 acquisitions of managed service providers in the first quarter, 73% more than a year earlier, and outside investors led 80% of them. Evergreen Services Group alone completed 47 acquisitions in 2025 (Omdia).

*Contracted managed revenue draws several funded buyers to a provider.*

## Financing became more expensive in the third quarter — 5.24%

The Federal Reserve raised its target range to 3.75% to 4.00% on September 16 ( Federal Reserve) and the 10-year Treasury yielded 5.24% on October 1 ( US Treasury). Total debt on platform acquisitions fell to 2.9x EBITDA from 3.4x ( GF Data via ACG).

*Dearer debt puts a premium on documented earnings and contracted customers.*

## Security budgets grow while the defense mandate pauses — $240B

Gartner forecasts information security spending of $240 billion in 2026, up 12.5% ( Gartner), after reported cybercrime losses of $20.9 billion in 2025 (FBI). The Department of War suspended the third-party certification phase of CMMC on July 13 (DoD CIO).

*Revenue tied to one compliance mandate needs a second source of demand.*

## Hardware order books are filling faster than factories ship — 1.39

North American EMS bookings rose 53.5% in August while shipments rose 1.0%, a three-month book-to-bill ratio of 1.39 (Global Electronics Association). Section 301 duties replaced the expired 10% import surcharge on July 24 (Wiley Rein).

*Backlog earns its value when it converts to shipments at steady margins.*

## Federal technology budgets rise as award timing slips — $75.7B

The fiscal 2027 budget requests $75.7 billion for civilian agency IT against $67.9 billion in fiscal 2026 (FedScoop). A continuing resolution funds the government through December 11, which delays new program starts (SpacePolicyOnline).

*Recompete dates and set-aside status deserve attention before a sale process.*

**WHAT IT MEANS FOR OWNERS**

Buyers pay most readily for contracted, recurring revenue and for capability that customers or regulators require. Completed middle-market transactions averaged 7.0x EBITDA in the second quarter (GF Data via ACG), and 87% of sales above $5 million drew three or more offers (IBBA and M&A Source).

Figures are the latest published as of October 5, 2026 and each is linked to its source. EMS is electronics manufacturing services. CMMC is the Cybersecurity Maturity Model Certification for defense suppliers.

# Perspectives on Six Sectors

Each sector has its own buyers and drivers, and the listed companies shown are the reference set used for valuation later in this brief.

## MANAGED IT & CLOUD SERVICES

*Consolidators are buying recurring revenue and the strongest providers are earning record margins.*

### ACTIVE BUYERS

Evergreen Services Group, The 20 MSP, Integris, Thrive, CompassMSP and Magna5; ePlus and Cognizant among public buyers

### LISTED REFERENCE COMPANIES

## CYBERSECURITY

*Losses and staffing shortages are moving security budgets to outside providers.*

### ACTIVE BUYERS

LevelBlue, CyberMaxx, A-LIGN and Accenture in services; Palo Alto Networks, Google and ServiceNow in software

### LISTED REFERENCE COMPANIES

## TELECOM & UCAAS

*Infrastructure investors are buying fiber while cloud voice grows about 5% a year.*

### ACTIVE BUYERS

Verizon, AT&T and T-Mobile with KKR and EQT in fiber; Point Broadband, Ezee Fiber, Vero Fiber, Rightfiber and TDS Telecom regionally

### LISTED REFERENCE COMPANIES

## SYSTEMS INTEGRATION

*Data center construction and security upgrades are filling integrator backlogs.*

### ACTIVE BUYERS

Pavion, Convergint, Everon, Securitas Technology and Knox Lane in security; 26North in audiovisual; Myriad360 and Net at Work in IT

### LISTED REFERENCE COMPANIES

## ELECTRONICS & HARDWARE

*Order books are filling faster than factories can ship.*

### ACTIVE BUYERS

Jabil, Sanmina and Flex among public manufacturers; Transom Capital, Tide Rock, Align Capital Partners and Arcline among sponsors

### LISTED REFERENCE COMPANIES

## GOVERNMENT TECHNOLOGY

*Budgets for cyber, AI and mission software are rising while award timing and procurement rules shift.*

### ACTIVE BUYERS

Leidos, Booz Allen, Parsons and SAIC; sponsor-backed ERT, Xpect Solutions, B&A and Detroit Defense

### LISTED REFERENCE COMPANIES



Active buyers are drawn from transactions announced between January 2025 and October 2026 and cited in this report. Company marks are the property of their owners and are shown for identification.

# What We're Reading

Primary sources and trade reporting from the third quarter.

## What We're Reading

Four pieces from the quarter that bear on how technology businesses are valued and sold, each with the passage we marked and the reason it matters to an owner.

GARTNER — July 27, 2026

### Gartner Forecasts Worldwide IT Spending to Grow 14.2% in 2026, Totaling $6.37 Trillion

> *"Building the compute capacity required for AI is the largest infrastructure project ever attempted by humanity."*
>
> John-David Lovelock, Distinguished VP Analyst, Gartner

**Our read.** Data center systems spending is forecast to rise 62.5% to $822 billion while IT services rise 5.3% to $1.57 trillion, so service firms tied to the infrastructure build-out are growing faster than the rest of the market.

READ HERE

CHANNEL DIVE — August 19, 2026

### Private equity, cybersecurity drive managed services industry consolidation

> *"ARR is what attracted private equity to the managed services space. It's nice because it's so predictable."*
>
> Jessica Davis, Principal Analyst, Omdia

**Our read.** Acquisitions of managed service providers rose 73% to 64 in the first quarter, with 37 in North America. Predictable annual recurring revenue is what investors are paying for.

READ HERE

GLOBAL ELECTRONICS ASSOCIATION — October 1, 2026

### North American EMS Orders Outpace Shipments in August as Bookings Rise 53.5% Year-Over-Year

> *"Strong bookings support the production outlook, but securing the materials needed to fulfill those orders remains a challenge."*
>
> Dr. Shawn DuBravac, Chief Economist, Global Electronics Association

**Our read.** Bookings rose 53.5% while shipments rose 1.0%. Buyers value backlog that converts to shipments, which makes component supply a diligence question.

READ HERE

DEPARTMENT OF WAR, CHIEF INFORMATION OFFICER — July 13, 2026

### About CMMC: Phase II requirements suspended

> *"All Phase I self-assessment requirements remain firmly in place."*
>
> Department of War Chief Information Officer, CMMC program page

**Our read.** Third-party certification for defense suppliers is paused while a task force reviews the program. Self-assessment against NIST 800-171 still applies (McGuireWoods analysis).

READ HERE

Quotations are reproduced as published. ARR is annual recurring revenue. EMS is electronics manufacturing services. NIST 800-171 is the federal standard for protecting controlled unclassified information.

# 02 Industry Activity

- Select recent M&A transactions
- Benchmark International transactions
- Public companies: valuation and operating metrics
- Earnings and commentary
- Cost and demand indicators
- Select market participants



# Select Recent Technology M&A Transactions

One transaction per research sector, chosen from those announced or completed between June and September 2026.

JUNE 2026 — MANAGED IT & CLOUD SERVICES

ASTREYA — ACQUIRED BY — COGNIZANT

### Cognizant completes its acquisition of Astreya

Astreya provides managed IT services with about 2,600 employees. The purchase adds AI infrastructure and managed services capability and was reported at approximately $600 million ( Cognizant; Coverager).

**WHAT IT SHOWS** Large IT services firms are buying managed services scale and AI infrastructure skills.

JUNE 2026 — CYBERSECURITY

DRAGOS — ACQUIRED BY — ACCENTURE

### Accenture agrees to buy a majority of Dragos

Accenture agreed to buy a majority of the industrial security firm Dragos and all of two smaller companies, runZero and NetRise, for a combined $4.175 billion (SecurityWeek).

**WHAT IT SHOWS** Security for industrial and operational systems is drawing strategic prices.

SEPTEMBER 2026 — TELECOM & UCAAS

GRANITE STATE COMMUNICATIONS — ACQUIRED BY — TDS TELECOM

### TDS Telecom acquires Granite State Communications

Granite State is a fiber and voice provider in New Hampshire with 11,000 service addresses. Regional operators and infrastructure funds are buying local fiber networks of this size; terms were not disclosed ( Broadband Communities ISP roundup).

**WHAT IT SHOWS** Local fiber operators have regional buyers as well as infrastructure funds.

SEPTEMBER 2026 — SYSTEMS INTEGRATION

COMMUNICATION COMPANY — ACQUIRED BY — PAVION

### Pavion acquires Communication Company

Communication Company is a Midwest life safety, security, audiovisual and communications integrator founded in 1976. Pavion is backed by Wind Point Partners; terms were not disclosed (Pavion).

**WHAT IT SHOWS** Sponsor-backed security and life safety platforms continue to add regional integrators.

AUGUST 2026 — ELECTRONICS & HARDWARE

D-FEND SOLUTIONS — ACQUIRED BY — MOTOROLA SOLUTIONS

### Motorola Solutions buys D-Fend Solutions for $1.5 billion

D-Fend makes counter-drone radio frequency technology. Defense and public safety electronics have drawn the highest prices in the sector, after the same buyer paid $4.4 billion for Silvus Technologies in 2025 (GovCon Wire).

**WHAT IT SHOWS** Defense and public safety electronics command the highest disclosed prices in hardware.

AUGUST 2026 — GOVERNMENT TECHNOLOGY

ULTRA I&C MISSION SOLUTIONS — ACQUIRED BY — BOOZ ALLEN

### Booz Allen closes its $720 million purchase of Ultra I&C Mission Solutions

The business supplies defense software, encryption and edge computing. Large contractors are paying disclosed prices for cyber and software capability with funded backlog (GovCon Wire).

**WHAT IT SHOWS** Prime contractors are paying for software and cyber capability.



Transaction values are as reported by the linked source. Company names and marks are the property of their owners and are shown for identification. Transactions advised by Benchmark International follow on the next page.

# Benchmark International's Technology Transactions

Electronics and hardware leads with five closed transactions and systems integration follows with four, and most buyers were operating companies.

TRAILING 24 MONTHS

**13**

transactions closed in these six sectors

**38**

further engagements in progress as of October 1, 2026, of which 19 are on the market

**7 of 11**

named sellers were bought by a company in their own or an adjacent field

Ranked the leading privately owned sell-side M&A advisor in the world in PitchBook's Q2 2026 Global League Tables ( Benchmark International).

MARTIANCRAFT
HAS BEEN ACQUIRED BY
WALNUT CAPITAL PARTNERS

Software design and development for mobile, Mac and backend systems

MANAGED IT & CLOUD

EM3 NETWORKS
HAS BEEN ACQUIRED BY
CAPCON NETWORKS

Dedicated leased lit fiber for schools, hospitals and libraries

TELECOM & UCAAS

CLEARLINE NETWORKS
HAS BEEN ACQUIRED BY
ZEUS FIRE AND SECURITY

Voice and data cabling, audiovisual and security systems

SYSTEMS INTEGRATION

HIGH TECH SOLUTIONS - SYSTEMS GROUP
HAS BEEN ACQUIRED BY
AI FIRE

Fire alarm, security, access control and video surveillance systems

SYSTEMS INTEGRATION

SHEFFIELD SCIENTIFIC
HAS BEEN ACQUIRED BY
TRM, A 424 CAPITAL COMPANY

Asset management consulting and risk software for power generators

SYSTEMS INTEGRATION

PARAGON MANUFACTURING
HAS BEEN ACQUIRED BY
BLUEROCK GLOBAL PRIVATE EQUITY

Build-to-print cables, harnesses and electro-mechanical assemblies

ELECTRONICS & HARDWARE

BOOSTR DIGITAL DISPLAYS
HAS BEEN ACQUIRED BY
BALIUS PARTNERS

Indoor and outdoor display assemblies for school sports programs

ELECTRONICS & HARDWARE

A.T. PARKER (SOLAR ELECTRONICS)
HAS BEEN ACQUIRED BY
ASSESSIMUS GROUP

Test equipment for electromagnetic compatibility laboratories

ELECTRONICS & HARDWARE

LASER LENS TEK (AMERICAN PHOTONICS)
HAS BEEN ACQUIRED BY
BLUEROCK GLOBAL PRIVATE EQUITY

Precision optical components and coatings for laser systems

ELECTRONICS & HARDWARE

COMPLETE CONTROL SERVICES
HAS BEEN ACQUIRED BY
AMTECH DRIVES

Instrumentation, calibration and controls integration

ELECTRONICS & HARDWARE

HAS BEEN ACQUIRED BY
CEMTREX

Instrumentation and wireless sensing for satellites and launch vehicles

GOVERNMENT TECHNOLOGY

**+2**

Two further closed transactions, in systems integration and government technology, are counted in the total and are not named.



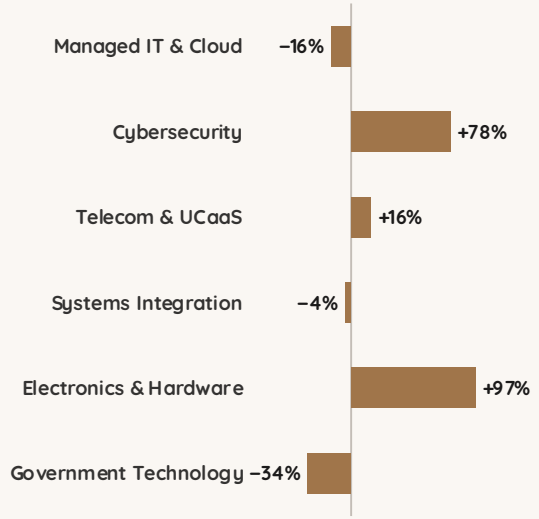
Each tile links to the announcement on benchmarkintl.com. Transactions closed in the 24 months to September 2026. Engagements in progress are shown in aggregate. Company names and marks are the property of their owners.

# Public Companies: Valuation

Electronics manufacturers re-rated from 12.1x to 21.8x EBITDA in a year, while IT services and government contractors trade below three-year medians.

## Share price change, past 52 weeks

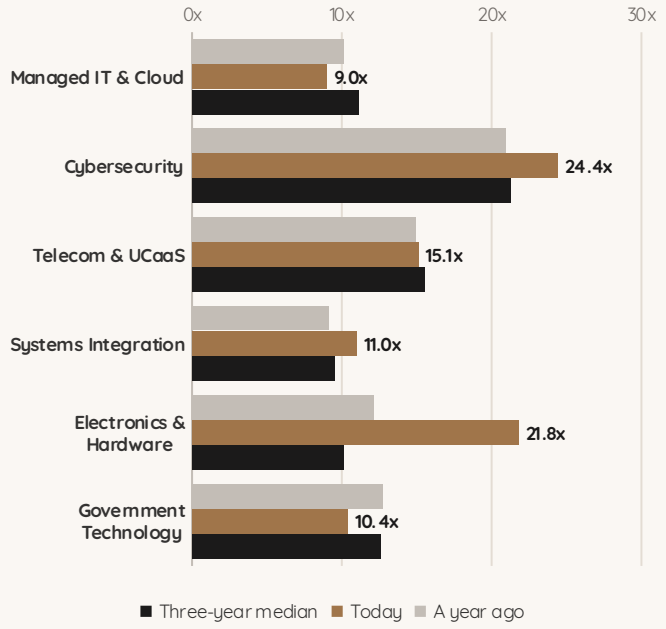
Median of the listed companies in each sector




Shares rose over the year at 3 of 9 IT services companies, 6 of 8 security companies, 5 of 9 communications companies, 4 of 9 integration companies, 8 of 9 electronics companies, 2 of 7 government companies.

## Enterprise value to trailing EBITDA

Median multiple a year ago, today and over three years, same companies at each point




### PRIVATE-MARKET REFERENCE POINTS

**12.5x**

Median US buyout multiple of EBITDA in 2025 ( PitchBook)

**7.0x**

Average for completed middle-market transactions in all industries, second quarter of 2026 (GF Data via ACG)

**5.8x**

Transactions of $5 million to $50 million in all industries, second quarter of 2026 ( IBBA and M&A Source)

*Listed multiples describe companies many times larger than a founder-owned business and show relative standing among the sectors.*

### LISTED COMPANIES IN EACH PEER GROUP

**MANAGED IT & CLOUD**

**CYBERSECURITY**

**TELECOM & UCAAS**

**SYSTEMS INTEGRATION**

**ELECTRONICS & HARDWARE**

**GOVERNMENT TECHNOLOGY**

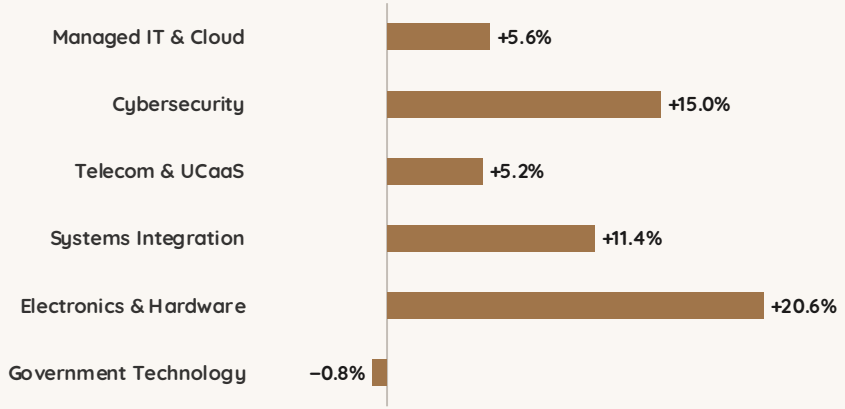
Source: StockAnalysis, retrieved October 5, 6 and 14, 2026, on reported EBITDA. The multiple chart covers the 38 companies with a multiple between zero and 60x at each point (faded marks are the 13 left out); share price change covers all 51. Year-ago multiples are at the quarter end nearest September 30, 2025, or June 30, 2025 for Computacenter, which reports half-yearly.

# Public Companies: Operating Metrics

Electronics manufacturers are growing about 20% a year, government contractors are flat, and security software converts the most revenue to cash.

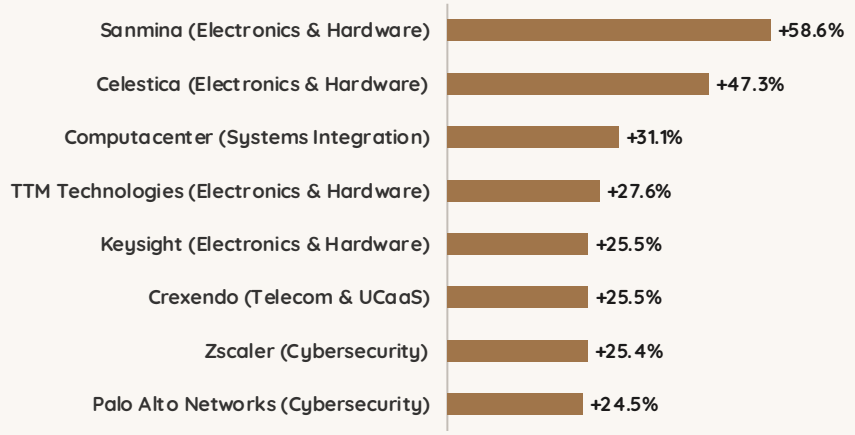
## Revenue growth, trailing twelve months

Median by sector



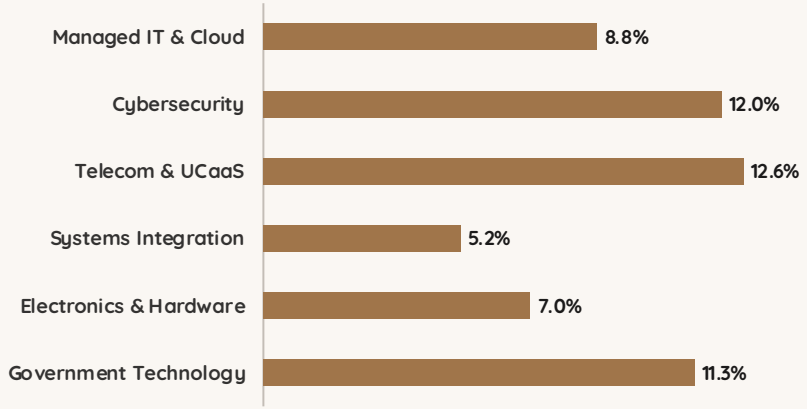

## Fastest revenue growth among the 51 companies

Trailing twelve months against the prior twelve; growth includes acquisitions



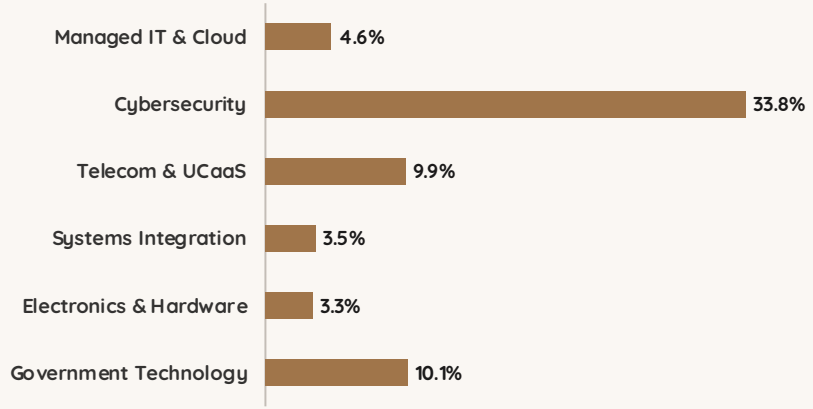

## EBITDA margin, trailing twelve months

Median by sector, on reported EBITDA




## Free cash flow margin, trailing twelve months

Median by sector



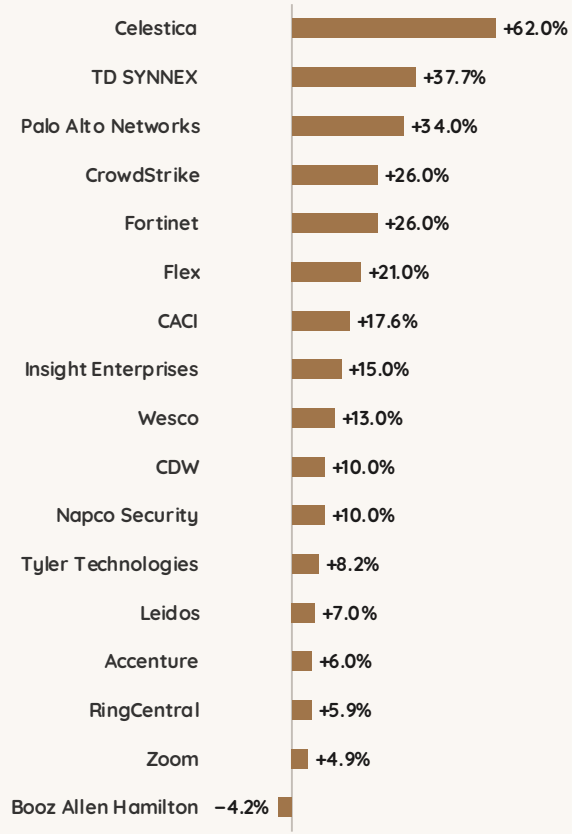

Source: StockAnalysis, retrieved October 5, 6 and 14, 2026. Trailing periods end between June and August 2026. EBITDA is as reported and is lower than the adjusted EBITDA companies present, most visibly for security software. Medians cover all listed companies in each sector.

# Earnings and Commentary

Data center suppliers grew fastest, security vendors tied their outlook to AI adoption, and government contractors described a harder market.

## Revenue growth, latest reported quarter

Year over year, as stated in each earnings release; quarters ended June to August 2026




Earnings releases: Celestica, TD SYNNEX, Palo Alto Networks, CrowdStrike, Fortinet, Flex, CACI, Insight Enterprises, Wesco, CDW, Napco Security, Tyler Technologies, Leidos, Accenture, RingCentral, Zoom, Booz Allen Hamilton.

## AI INFRASTRUCTURE DEMAND

Christine A. Leahy, Chair and Chief Executive Officer, CDW

*"CDW delivered strong second quarter results as customers advanced investments in infrastructure modernization, cloud, and AI-enabled technologies."*

John Engel, Chairman, President, and CEO, Wesco

*"We have now posted four consecutive quarters of double-digit sales growth fueled by data centers."*

Mike Dastoor, CEO, Jabil

*"Our fiscal 2027 outlook reflects the strength of Jabil's diversified portfolio, with accelerating AI demand complemented by solid growth in automotive, healthcare, energy infrastructure, defense and aerospace, and warehouse and retail automation."*

**READ-THROUGH**

Demand tied to data center build-outs runs through IT solutions, distribution and contract manufacturing alike.

## SECURITY AND COMMUNICATIONS

George Kurtz, Founder and Chief Executive Officer, CrowdStrike

*"Every enterprise will run on AI, and securing it is the largest market opportunity in our history."*

Nikesh Arora, Chairman and Chief Executive Officer, Palo Alto Networks

*"The latest advancements in AI are elevating cybersecurity to the top of the CIO priority list, and will serve as durable tailwinds as we progress towards our $20 billion FY30 NGS ARR target."*

Vlad Shmunis, Founder, Chairman and CEO, RingCentral

*"Customers using at least one paid AI product now represent approximately 13% of ARR, having doubled year-over-year."*

**READ-THROUGH**

Security and communications vendors now tie their growth to how quickly customers adopt AI.

## GOVERNMENT AND PUBLIC SECTOR

Horacio Rozanski, Chairman and CEO, Booz Allen Hamilton

*"Booz Allen is on track with the expectations we set for the fiscal year amid challenging market dynamics."*

John Mengucci, President and Chief Executive Officer, CACI

*"In a challenging environment, we grew free cash flow by 66%, delivered high-single digit organic revenue growth, expanded EBITDA margin to 12.3%, won $10 billion in contract awards, and grew both funded and total backlog."*

Lynn Moore, Executive Chair, President and Chief Executive Officer, Tyler Technologies

*"Public sector demand remains healthy, reflecting sustained modernization priorities for the public sector that translated into record SaaS and total bookings."*

**READ-THROUGH**

Contractors describe a harder market even as bookings and backlog grow.

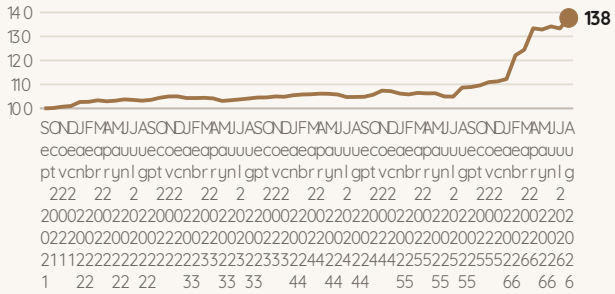
Figures and quotations are from each company's earnings release, linked under the chart. Accenture growth is in US dollars, Palo Alto Networks includes acquired businesses, and the CACI quotation describes its full fiscal year. Jabil reported fourth-quarter revenue of $10.6 billion against $8.3 billion and is not charted because its release states no percentage.

# Key Cost and Demand Indicators

Component and copper prices turned up in 2026, data center construction is surging, and IT services employment keeps drifting lower.

## Semiconductor and electronic component prices

Producer price index, semiconductor and other electronic component manufacturing. Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED

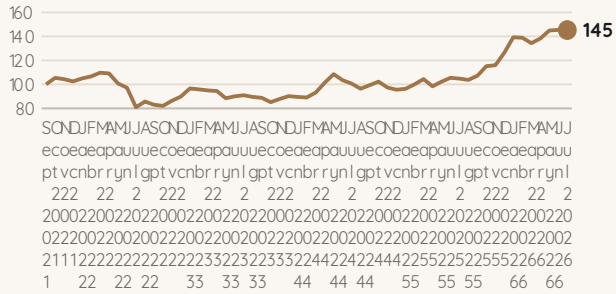



| CHANGE TO AUG 2026 | |
|---|---|
| 1 year | **+26.7%** |
| 3 years | **+32.3%** |
| Since Sep 2021 | **+37.7%** |

Component prices were flat for four years and have risen sharply since February 2026, which raises input costs for manufacturers and integrators.

## Copper price

Global price of copper, US dollars per metric ton, monthly average. Index, September 2021 = 100. Source: International Monetary Fund via FRED

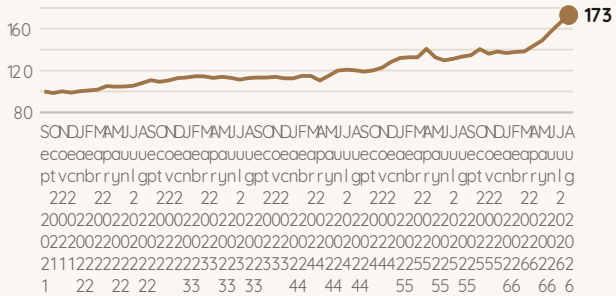



| CHANGE TO JUL 2026 | |
|---|---|
| 1 year | **+38.6%** |
| 3 years | **+59.8%** |
| Since Sep 2021 | **+45.2%** |

Copper feeds cabling, power and fiber construction budgets, and it reached a record monthly average in 2026.

## Private office construction, including data centers

Annualized spending; the Census Bureau counts data centers in this category. Index, September 2021 = 100. Source: US Census Bureau via FRED

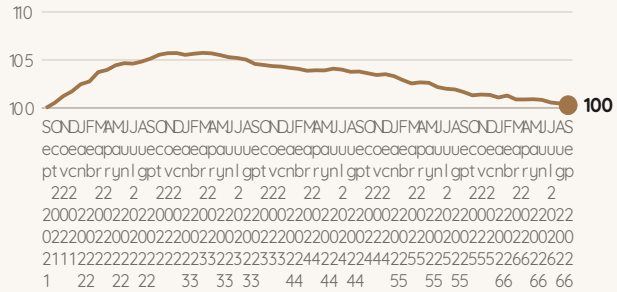



| CHANGE TO AUG 2026 | |
|---|---|
| 1 year | **+29.8%** |
| 3 years | **+53.4%** |
| Since Sep 2021 | **+73.1%** |

Data centers accounted for $85.0 billion of the August 2026 annual rate, against $49.1 billion a year earlier.

## Employment in computer systems design and related services

All employees, seasonally adjusted. Index, September 2021 = 100. Source: Bureau of Labor Statistics via FRED




| CHANGE TO SEP 2026 | |
|---|---|
| 1 year | **−1.3%** |
| 3 years | **−4.1%** |
| Since Sep 2021 | **+0.3%** |

Headcount at IT services firms has fallen 5% from its March 2023 peak even as technology spending has grown.



Each series is indexed to September 2021 and runs to its latest month: August 2026 for component prices and construction, July 2026 for copper, September 2026 for employment. Recent months are preliminary. The data center figures are from the Census Bureau construction spending release of October 1, 2026.

# Select Market Participants

The listed reference companies in each sector, and the private platforms, sponsors and strategic buyers acquiring founder-owned businesses.

## MANAGED IT & CLOUD SERVICES

### LISTED COMPANIES

- CDW
- Insight Enterprises
- ePlus
- PC Connection
- Kyndryl
- DXC Technology
- Accenture
- Cognizant
- EPAM Systems

### CONSOLIDATORS

- Evergreen Services Group
- The 20 MSP
- Integris
- Thrive
- CompassMSP
- Magna5
- New Charter Technologies
- Arctiq
- 11:11 Systems
- Park Place Technologies

## CYBERSECURITY

### LISTED COMPANIES

- CrowdStrike
- Palo Alto Networks
- Fortinet
- Zscaler
- Okta
- Tenable
- Qualys
- Check Point

### SERVICE PLATFORMS AND SOFTWARE BUYERS

- LevelBlue
- CyberMaxx
- A-LIGN
- Sophos
- Proofpoint
- Barracuda Networks
- Google
- ServiceNow

## TELECOM & UCAAS

### LISTED COMPANIES

- RingCentral
- 8x8
- Zoom
- Five9
- Bandwidth
- Ooma
- Crexendo
- Shenandoah Telecom
- TDS

### FIBER OPERATORS, INVESTORS AND CHANNEL

- Verizon
- AT&T
- T-Mobile with KKR
- Zayo
- Stonepeak
- Point Broadband
- Ezee Fiber
- Vero Fiber
- Rightfiber
- AppDirect

## SYSTEMS INTEGRATION

### LISTED COMPANIES

- Wesco
- ScanSource
- Climb Global
- TD SYNNEX
- Unisys
- Napco Security
- Computacenter
- Bechtle
- ADT

### SECURITY, AUDIOVISUAL AND IT PLATFORMS

- Pavion
- Convergint
- Everon
- Securitas Technology
- Knox Lane
- Sciens Building Solutions
- AVI-SPL with 26North
- AVI Systems
- Myriad360
- Net at Work

## ELECTRONICS & HARDWARE

### LISTED COMPANIES

- Jabil
- Flex
- Celestica
- Sanmina
- Plexus
- Benchmark Elec.
- Kimball Electronics
- TTM Technologies
- Keysight

### SPONSORS AND STRATEGIC BUYERS

- Transom Capital
- Tide Rock
- Align Capital Partners
- Arcline
- Motorola Solutions
- Navitas Semiconductor
- Qualitel
- StenTech

## GOVERNMENT TECHNOLOGY

### LISTED COMPANIES

- Booz Allen
- CACI
- SAIC
- Leidos
- Parsons
- ICF
- Tyler Technologies

### SPONSOR-BACKED PLATFORMS

- ERT
- Xpect Solutions
- B&A
- Detroit Defense
- ITC Federal
- Falfurrias Management Partners

Private participants are buyers in transactions announced between January 2025 and October 2026 and cited in this report. The list is illustrative. Company names and marks are the property of their owners and are shown for identification.

# 03

# Connect With Us

- Start a conversation
- Our team
- Benchmark International
- Disclosures and sources



# Connect With Us

A first conversation is confidential and carries no obligation.

CONFIDENTIAL. NO PRESSURE. NO COMMITMENTS.

## It all starts with a conversation.

Our first step is always a confidential conversation exploring your goals, your company and your options. We welcome calls from owners considering a strategic sale, merger or change-of-control transaction in any of our five industries, and from the advisors who work with them.



**Jared Hardin**

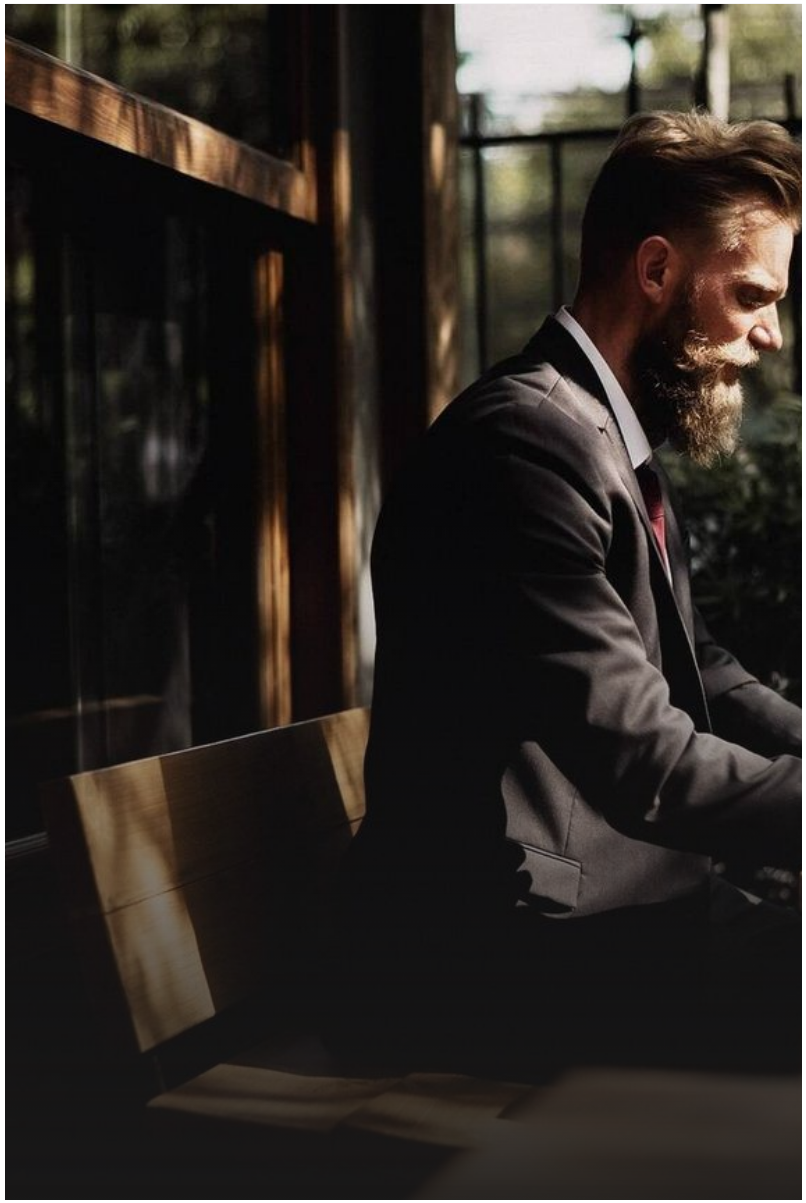
MANAGING DIRECTOR

813-771-6675

j.hardin@benchmarkintl.com

SCHEDULE A CONVERSATION

READ THE FULL Q4 2026 REPORT



# Our Team

The Middle Market team leads each engagement from the first conversation through signing and closing.

## Middle Market

The Middle Market team represents owners of privately held companies with $50 million to $500 million of total enterprise value on strategic sales, mergers, and qualifying change-of-control transactions.

### HEADQUARTERS

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TRANSACTION DIRECTOR



### Shannon Hess
CLIENT ENGAGEMENT DIRECTOR



**Sunny Garten**
Senior Deal Associate



**Michael Wynn**
Senior Deal Associate



**Jason Lisiak**
Research Associate



**Alexandra Barr**
Transaction Support Associate



**Josiah Warren**
Transaction Support Associate



**Luke Ernst**
Deal Analyst

### TECHNOLOGY COVERAGE

- Managed IT & Cloud Services
- Cybersecurity
- Telecom & UCaaS
- Systems Integration
- Electronics & Hardware
- Government Technology

Team as listed on the Benchmark International Middle Market site in October 2026.

# Benchmark International

The world's leading privately owned sell-side M&A advisor, with a Middle Market team focused on five industries.

BENCHMARK® INTERNATIONAL

Benchmark International's Middle Market team advises owners of privately held companies across five industries on strategic sales, mergers, and qualifying change-of-control transactions.

**#1**

Privately owned sell-side M&A advisor worldwide, based on PitchBook's Q2 2026 Global League Tables

**$50M to $500M**

Total enterprise value range the Middle Market team serves

**5**

Focused industry groups with dedicated sector expertise

**15**

Global offices across the Americas, Europe and Africa

## RECOGNITION

THE M&A ADVISOR
INVESTMENT BANKING FIRM OF THE YEAR

PitchBook
#1 SELL-SIDE EXCLUSIVE M&A ADVISOR IN THE WORLD

LSEG
#1 PRIVATELY-HELD M&A ADVISORS WORLDWIDE

DealMakers
MERGERS & ACQUISITIONS (UNLISTED DEALS) FIRST IN THE CATEGORY OF INVESTMENT ADVISERS (DEAL FLOW)

## FIVE INDUSTRIES

- INDUSTRIALS
- BUSINESS SERVICES
- CONSUMER
- HEALTHCARE
- TECHNOLOGY

Ranking based on PitchBook's Q2 2026 Global League Tables, as published at benchmarkintl.com. Awards as shown on the Benchmark International Middle Market site.

# Important Disclosures

Please read these notes together with the brief.

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*Information as of October 5, 2026.*

# Sources

The sources linked on each page, listed by page with the link text used.

### KEY TRENDS

Gartner; Synergy Research Group; Omdia; Federal Reserve; US Treasury; GF Data via ACG; Gartner; FBI; DoD CIO; Global Electronics Association; Wiley Rein; FedScoop; SpacePolicyOnline; IBBA and M&A Source

### WHAT WE'RE READING

Gartner; Channel Dive; Global Electronics Association; Department of War, Chief Information Officer ; McGuireWoods analysis

### RECENT TRANSACTIONS

Cognizant; Coverager; SecurityWeek; Broadband Communities ISP roundup; Pavion; GovCon Wire; GovCon Wire

### BENCHMARK INTERNATIONAL TRANSACTIONS

Benchmark International

### PUBLIC COMPANIES: VALUATION

PitchBook; GF Data via ACG; IBBA and M&A Source; StockAnalysis

### PUBLIC COMPANIES: OPERATING METRICS

StockAnalysis

### EARNINGS AND COMMENTARY

Celestica; TD SYNNEX; Palo Alto Networks; CrowdStrike; Fortinet; Flex; CACI; Insight Enterprises; Wesco; CDW; Napco Security; Tyler Technologies; Leidos; Accenture; RingCentral; Zoom; Booz Allen Hamilton; Jabil

### COST AND DEMAND INDICATORS

FRED series PCU33443344 (Bureau of Labor Statistics) ; FRED series PCOPPUSDM (International Monetary Fund) ; FRED series PROFCONS (US Census Bureau) ; FRED series CES6054150001 (Bureau of Labor Statistics) ; Census Bureau construction spending release of October 1, 2026

### CONNECT WITH US

Technology Q4 2026 industry report, Benchmark International Middle Market

### FIRM OVERVIEW

Benchmark International, Our Success

### BENCHMARK INTERNATIONAL RECORDS

Transaction records and the engagement portfolio as of October 1, 2026; announced transactions as published at benchmarkintl.com/insights, each linked from its tile

Subscription sources that would add depth are listed in a separate one-page document.